

A NEW BEGINNING

\$30

BILLION

**THE ESTIMATED SIZE
OF THE INDIAN
ECONOMY BY 2047**

7.6

PER CENT

**GDP GROWTH IN FY24
AS PER THE SECOND
ADVANCE ESTIMATES
OF THE NSO**

2,700

MEETINGS

**HELD ALONG WITH
WORKSHOPS FOR
CONSULTATIONS
ON THE VIKSIT BHARAT,
OR DEVELOPED INDIA,
ROAD MAP**

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MILLION

**NUMBER OF YOUTH
FROM WHOM
SUGGESTIONS WERE
RECEIVED FOR THE
ROAD MAP**

of administrative ministries and officials is to take forward work that has already been approved and await the next government to take forward their plans and agenda.

This time around, the Prime Minister seems intent on ensuring that the economic momentum does not stop during the two-month period before the next government is formed in late May. Traditionally, it is only after assuming office that ministers of the new government confer with their officials and chart out the agenda for the first 100 days, also taking into consideration their electoral promises. This means that the lull in policymaking continues for another month. There are worries that the government's capital expenditure plan may be in the slow lane over the next few months.

But the 100-day agenda and a five-year plan within the framework of making India a developed nation by 2047 would allow ministers to hit the ground running as soon as they take oath, should the current dispensation emerge victorious again. The road map for Viksit Bharat 2047 is the result of more than two years of intensive preparation and wide-ranging consultations.

Officials have also been asked to ensure that the country's growth momentum continues and that work is not disrupted because of the polls. This is significant since the economy is estimated to grow by 7.6% in financial year 2023-24 after a stellar 8.4% growth in the third quarter of the fiscal. Analysts have revised upward their growth projections for the next fiscal. Moody's has raised India's GDP growth forecast to 6.8% in 2024. Bank of Baroda has pegged it at 7.8% for FY25, assuming an improvement

in private consumption with a normal monsoon that could boost rural sentiments and a pick-up in private sector investment.

Experts note that while the headline GDP projection for FY24 in the Second Advance Estimates came as a pleasant surprise, much work still needs to be done to ensure that the economy fully shrugs off the pandemic blues, with issues such as employment generation and investments that still need to be tackled.

The second advance estimate of national income shows a divergence between real GDP and real GVA growth (6.5%) in FY24, which has raised eyebrows. Analysts, though, say it reflects higher net indirect taxes and a fall in the subsidy bill. The muted farm sector growth and its impact on rural demand remain a concern, although the Union finance ministry has remained optimistic about a reversal in FY25.

For the current fiscal, private final consumption expenditure is seen to grow by 3% (as against 4.4% in the First Advance Estimates), while gross fixed capital formation, a bellwether for investments, is expected to increase by 10.2% (marginally lower than 10.3% in the First Advance Estimates).

According to Anil K. Sood, Professor and Co-founder of the Institute for Advanced Studies in Complex Choices, the Indian economy is not realising its growth potential, and more policy measures are required. "India's labour force participation rate for the 15-29 years age group remains very low, even for urban youth. The priority for the government should be the creation of earning opportunities for the youth. Gig work that shifts risk to our youth is not the most effective solution to our employment problem, but

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